

1.)Recently, COSCO SHIPPING has been actively advancing the development of green, low-carbon, and intelligent fleets within its oil and gas as well as general cargo specialized fleets, in response to the accelerated pace of carbon emission reductions in the international shipping industry.

COSCO SHIPPING Energy signs a contract for the construction of six VLCCs

On November 22, COSCO SHIPPING Energy made a significant stride forward by signing a contract with Dalian Shipbuilding Industry Co., Ltd. and China Shipbuilding Trading for the construction of six 307,000 dwt crude oil tankers. These vessels boast advanced overall performance, improved energy efficiency design indices, and are designed to meet future fuel requirements, being both LNG Ready and Methanol Ready—a testament to their preparedness for conversion to LNG and methanol powered ships during the newbuilding phase.

The design of these vessels has been meticulously optimized across various hull profiles, ensuring an optimal match between the power output and speed of the main engines. This optimization aims at achieving maximum energy savings while maintaining excellent economic efficiency.

COSCO SHIPPING Specialized Carriers names two multi-purpose pulp carriers

On November 20, COSCO SHIPPING Specialized Carriers celebrated the naming ceremony of its latest additions to the fleet, the 77,000-dwt multipurpose pulp carriers GREEN PECCEM and GREEN SUAPE, at COSCO SHIPPING Heavy Industry Dalian. They are the world's largest professional pulp transport ships. Measuring an impressive total length of 225.0 meters, with a width of 32.26 meters and a molded depth of 21.0 meters, they are designed for a cruising speed of 15 knots and boast an endurance of 25,000 nautical miles, embodying the essence of energy-efficient green shipping. The cargo holds of the ships adopt a container-type design, and are equipped with rotary dehumidifiers to guarantee optimal conditions for pulp cargo, ensuring both quality and safety throughout transportation.

Their adaptability extends further, making them suitable for carrying high-speed rail train, wind turbine equipment, new energy vehicles, large machinery, and ultra-long and overweight steel pipe pile structures. To address the unique requirements of transporting new energy vehicles, this series introduces a one-to-one temperature monitoring and early warning system.

2.)COSCO Shipping Development splurges \$2bn on 42 newbuilds

COSCO Shipping Development announced a significant investment plan to construct forty-two new bulk carriers, the largest shipbuilding order the company has placed since 2016.

The RMB14.2bn (\$2bn) contracts comprise of twenty bulk carriers to be constructed by COSCO Shipping Heavy Industry and twenty-two bulkers to be build by CSSC Chengxi Shipyard, including five 64,000 dwt bulk carriers, two 82,000 dwt bulk carriers, and thirty-five 80,000 dwt bulk carriers.

These new vessels are scheduled for delivery between 2026-2027 and will be leased to COSCO Shipping Bulk Company for long-term operation.

Building the new bulkers will provide constant and stable profits to the company, it said while promoting the use of high-quality ship assets. COSCO said all of the newbuildings are green vessels, with some methanol-ready to support decarbonisation of the shipping industry.

COSCO Shipping Development currently owns a fleet of over 140 vessels, mainly consisting of containerships, bulk carriers and multi-purpose vessels.

3.)China increases presence in Asia-Pacific with megaport in Peru that will "revolutionize" trade
LIMA, Nov 14 (Reuters) - Chinese President Xi Jinping will arrive in Lima on Thursday for the APEC summit, launching a diplomatic offensive in Latin America, with the inauguration of a huge port in Peru in one of Beijing's most ambitious bets in South America that is expected to "revolutionize" trade in the bloc.

Xi is expected to arrive later in the afternoon, followed by US President Joe Biden. The two are expected to meet on Saturday during the Asia-Pacific Economic Cooperation (APEC) forum, before heading to Brazil for the summit of the Group of 20 major economies (G20).

The Chinese president and Peruvian host Dina Boluarte will virtually inaugurate the Chancay megaport, located 80 kilometers north of the capital, from the Government Palace in Lima, at a time when Beijing seeks to expand its presence in the Latin American region rich in natural resources.

The launch of the megaport will take place amid concerns about future tariffs from a White House that will be led from January by Republican Donald Trump, who will assume the presidency for the second time in less than a decade.

The megaport, built by China's Cosco Shipping Ports (1199.HK), opens new tab, has already attracted \$1.3 billion in Chinese investment and is expected to attract billions more in the near future in a bid to become a major shipping hub between Asia and South America.

"Chancay, accompanied by the port of Callao (on the Peruvian coast), will revolutionize trade and boost the economy of Asia and the Pacific," said President Boluarte, in an opening speech at a meeting of businessmen from the APEC bloc.

"Peru opens its doors and welcomes capital and investment funds from around the world," he said.

President Xi, in an article published by the official newspaper El Peruano in its print edition on Thursday, said he hopes that trade "from Chancay to Shanghai will be a true path of prosperity in promoting common development between China and Peru, and between China and Latin America and the Caribbean."

GREATER PROMINENCE

China's presence in the region has shifted dramatically in recent decades, overtaking the United States in trade in South and Central America during the previous Trump administration, even as his administration periodically warned the region about the dangers of getting too close to Beijing.

Under President Biden, the gap has widened, despite Washington's efforts to reverse it.

Part of the shift is pragmatic. Fast-growing China needs Andean copper and lithium from South America, along with corn and soybeans from the plains of Argentina and Brazil.

One example of its increased role in the region is Peru, the world's third-largest copper producer. A decade ago, the country traded slightly more with the United States than with China. Now, China has a lead of more than \$10 billion in bilateral trade, according to recent annual data. China has had a free trade agreement with Peru since 2009. In the region, China has similar agreements with Chile, Costa Rica, Ecuador and has already begun talks with Uruguay.

Their trade advantage with Latin America, of some 100 billion dollars compared to the United States, is growing, according to annual data, and they provide additional influence.

The Peruvian megaport of Chancay, which will begin operations by moving one million containers a year, expects a second phase of expansion in the coming years with an additional investment of 2.3 billion dollars, according to the construction company.

"It is expected that in approximately four years the second phase of the project could begin to be developed," Mario de las Casas, corporate affairs manager for Cosco Shipping Chancay Peru, told Reuters by telephone.

The terminal will be able to receive and depart large ships on direct trips from Asia to South America, reducing the transport of goods by about two weeks. One of the main interested parties in the port is Brazil, the largest exporter of soybeans to China.

According to analysts, the megaport would be boosted by the construction of a train linking the Pacific coast with Brazil, a project that has been shelved for years.

"I think the railway project is essential," said De las Casas. "We have to target a large market, which is Brazil, and we have to focus on how to get to Brazil for mass transportation of soybeans," he said.

Cosco Shipping has a 60% stake in the megaport, with the remainder held by Peruvian mining company Volcan.

4.) Container shippers hedging green transition with dual-fuel vessel orders

LOS ANGELES, Nov 21 (Reuters) - Container shipping companies like Maersk (MAERSKb.CO), opens new tab, CMA CGM and COSCO (601919.SS), opens new tab have ordered hundreds of new vessels in recent years meant to help their industry slash greenhouse gas (GHG) emissions to meet rising demand from customers and regulators around the globe.

Their order books, however, reflect uncertainty over which of a wide array of so-called green fuels will become the standard in the decades to come, and whether supplies will be cheap and abundant enough to keep their fleets in motion.

Decarbonizing shipping is important to global efforts to fight climate change because it accounts for about 3% of global greenhouse gases, but accomplishing it will be difficult and costly, requiring billions of dollars in investments in new vessels and fuel production.

The U.N.'s International Maritime Organization has set a goal to zero out shipping industry emissions by 2050, but policymakers have so far provided little in the way of support or guidance for how companies should get there, leaving the future of the market a mystery.

"No single fuel or technology dominates," said Knut Orbeck-Nilssen, CEO of Maritime at Norway-based ship certifier DNV.

Faced with that reality, operators of the hulking vessels that ferry thousands of shipping boxes stuffed with furniture, televisions, shoes and toys destined for companies like Walmart (WMT.N), opens new tab, Amazon (AMZN.O), opens new tab, IKEA and Nike (NKE.N), opens new tab are hedging their bets by ramping up orders for hybrid engines designed for several different green fuel types, but which also allow them to fall back on petroleum if those green fuels are unavailable or too costly.

Container shipping companies had pending orders for 522 dual-fuel new vessels as of Oct. 31, according to data from DNV. Of those, 303 are designed to run on liquefied natural gas (LNG), 216 are meant to burn methanol, two would use hydrogen, and one would be equipped to use ammonia, according to the data.

Rebecca Galanopoulos, senior content analyst at maritime software and services provider Veson Nautical, said 65% of container vessel orders in 2024 were for dual-fuel engines versus just 4% in 2018.

"Major shipping players are future-proofing their fleets," she said.

GOAL: REPLACE 2.5 BILLION OIL BARRELS

The maritime sector each year burns roughly 2.5 billion barrels of heavy fuel oil made from the cheap leftovers of gasoline, diesel and jet fuel production.

Decarbonizing the entire shipping industry could cost over \$100 billion per year, and double the industry's fuel prices, according to the U.N.'s Conference on Trade and Development.

While the container shipping industry's 6,643 vessels account for a small fraction of the global fleet, they have an outsized impact on the climate because they travel faster and consume more fuel than other vessels, shipping experts said.

Container shipping companies are now at the vanguard of the green push, having ordered more than twice the number of alternative-fuel vessels than any other cargo sector, like petroleum tankers or bulk carriers, according to DNV.

In the meantime, most ships that run on conventional fossil fuel can also run on biodiesel made from used cooking oil and other products. But supplies are forecast to fall far short of what would be needed for the maritime industry.

CMA CGM, which counts Walmart as a top customer, is among those that have secured some supplies. The company has notched a 50% reduction in carbon dioxide emissions per container using biodiesel, said Heather Wood, the French carrier's vice president of sustainability.

At the same time, the company is adding biomethane, also known as renewable natural gas, to its fuel mix.

"We're headed in the right direction. It's just going to be a portfolio of options," said Wood, who added that CMA CGM is investing \$15 billion in new vessels that can run on a variety of cleaner fuels.

MORE GAS

Dual-fuel LNG ships now make up the bulk of container ship orders. Despite being a fossil fuel, LNG can reduce GHG emissions up to 23% because it burns cleaner than traditional ship fuels, according to DNV.

Environmentalists and climate scientists are far less enthusiastic though, because producing, transporting and using LNG can lead to leaks of methane, a potent planet-warming gas, into the atmosphere. The same is true for renewable natural gas, captured from decomposing animal and plant waste.

Switzerland's MSC, the industry leader with a fleet of more than 800 owned and chartered ships, says LNG has a relatively certain and reliable supply chain compared with other lower-carbon shipping fuels. And, like most of its peers, it has been ordering dual-fuel LNG vessels.

Germany's Hapag-Lloyd (HLAG.DE), opens new tab earlier this year won a two-year contract to provide waste-based biomethane-powered shipping for the Zero Emission Maritime Buyers Alliance that includes major shippers like Amazon, IKEA, and Nike.

Jo Friedmann, a vice president of supply chain research at Rystad Energy, said transition fuels like LNG could "play quite a big role until 2035 or

2040."

CARRIERS 'LEAN IN'

Meanwhile, executives are clamoring for global regulations that would create more certainty and promote investment in the green fuel market for decades to come.

They want global deadlines for phasing out dirty fuels, government incentives for lower-carbon fuel production and use, and penalties for late adopters of cleaner fuels.

And, several companies are making investments in other alternative fuels like green methanol and ammonia, hydrogen-based fuels produced using power from renewable sources like solar and wind.

CMA CGM, Denmark's Maersk, Taiwan's Evergreen (2603.TW), opens new tab and China's COSCO are buying ships that can run on green methanol.

COSCO and CMA CGM, meanwhile, are working on a project to procure, supply and deliver green methanol at major ports in China. And MSC is equipping an undisclosed portion of its new LNG vessels with ammonia-compatible tanks.

"We could sit back and see which comes first, or you can lean in" to green fuel investments, Maersk CEO Vincent Clerc said earlier this year at the Los Angeles naming event for one of its green methanol ships, Alette Maersk.